

TRANSACTION APPROVAL ESCALATION SOP

Standard Operating Procedure | SOP No. SOP-TAE-005 | Version 1.1

SOP Number:	SOP-TAE-005
Version:	1.1
Effective Date:	June 24, 2023
Process Owner:	Elizabeth Clark (EMP-70174) — Deputy Manager
Applicable System(s):	Audit Assistant Platform / ERP / Finance System

1. PURPOSE

This SOP defines the standardised process for transaction approval escalation to ensure consistency, control effectiveness, and audit traceability across all business units.

2. PROCESS FLOW

- Step 1:** Transaction submitted for approval against approver's authority limit
- Step 2:** System compares transaction_amount to approval_limit
- Step 3:** If amount exceeds limit, status is set to ESCALATED automatically
- Step 4:** Escalated transaction routed to next-level approver with delegation_ref
- Step 5:** Next-level approver reviews and approves, rejects, or further escalates
- Step 6:** Final decision recorded in Approval_Workflow with audit timestamp

3. ROLES AND RESPONSIBILITIES

Role	Responsibility
Risk Analyst	Initiates and validates process inputs
Department Head	Monitors exceptions and escalates as required
Finance Manager	Monitors exceptions and escalates as required
Internal Auditor	Initiates and validates process inputs

4. CONTROLS

This process incorporates the following key controls: (i) system-enforced validation against the Delegation of Authority Policy; (ii) mandatory documentation attachment prior to approval; (iii) periodic exception reporting to Internal Audit; and (iv) quarterly process effectiveness review.

5. EXCEPTION HANDLING

Any deviation from this SOP must be documented with justification and approved by Deputy Manager or delegate. Exceptions are logged in the exception register and reviewed monthly by the Risk Committee. Repeated exceptions of the same type will trigger a process redesign review.

6. RELATED DOCUMENTS

This SOP should be read in conjunction with the Delegation of Authority Policy, the Internal Audit Charter, and the relevant functional policy governing this process area.